

CATEGORY 4: INSURANCE

The average family will spend about 5 percent of their net income on life and disability insurance. This percentage assumes that you are covered by a group health insurance plan that is paid by the employer. If not, this category may consume 10 percent or more of your income. Obviously, if a higher percentage is spent on insurance, then the difference must be taken out of other categories.

Quite often, the lack of available funds makes health insurance a virtual impossibility for many couples. However, the cost of a major hospital stay can result in years of indebtedness. So don't make this decision lightly. One alternative to very expensive health insurance may be a major medical policy. Major medical insurance usually has a high deductible (\$500-1,000) and is designed to cover major illnesses rather than routine problems. Usually, the cost is less than half of what most health insurance plans would be.

You will find a complete discussion on the subject of insurance in Part Two of this book. Suffice it to say, when budgeting for insurance with limited funds available, you must select the insurance plan that fits *your* needs, not a salesman's.

CATEGORY 5: ENTERTAINMENT AND RECREATION

Entertainment and recreation should consume about 7 percent of your spending. That includes eating out, movies, sporting events, health clubs, vacations, everything. Obviously that is NOT a lot of money. It means an average-income couple cannot go to Acapulco for their vacation—at least, not unless somebody else is paying for it. For a couple with a \$24,000-a-year-gross income, this only allows about \$120 a month for ALL entertainment and recreation, including vacations. They must be realistic about what they can and cannot spend.

Let's assume you allocate approximately \$500 a year for vacations—in round numbers, about \$40 per month. This money should be left in a special savings account. Otherwise, you'll be tempted to spend it, month by month. Even so, it requires a great deal of self-discipline not to overspend. Vacations are a